

the DEA also questioning its competitiveness with international ports on the east coast.

The shipping ministry said that although India has operational deep-draft ports, besides the under-development Vadhvan, none of the east coast facilities is an international transshipment port close to major shipping routes. Galathea Bay's location near the East-West shipping corridor gives it a competitive edge.

The government is of the view that Vizhinjam is expected to primarily cater to transshipment of the west coast traffic and compete with established hubs such as Port of Colombo. In contrast, the proposed Galathea Bay ICTP is strategically located near the Malacca Strait and is expected to cater to traffic from the east coast of India, Southeast Asia, and east-bound shipping routes.

100 | The committee also questioned how the proposed project, given its proximity to established transshipment hubs such as Colombo, Singapore, and Port Klang, will remain competitive enough to attract shipping lines.

The ministry says it has done a detailed tariff benchmarking exercise against major competing ports during the OPR (owner project requirement) stage.

Based on current terminal handling charges for FY26, tariffs are estimated at \$65-70 per TEU at Singapore and \$45-55 per TEU at Colombo and Port Klang.

"Accordingly, a competitive tariff has been adopted in the project. A competitive tariff structure supplemented by a strong port ecosystem plays a critical role in attracting and sustaining transshipment traffic," it says.

Allcargo's Jakhar says as India's trade volumes continue to grow, world-class transshipment



"We are crucially dependent on the sea for economic well-being. Sea lanes are important for strategic stability. Safety and stability at sea cannot be taken for granted."

ADMIRAL SWAMINATHAN
INDIAN NAVY CHIEF



"ICTP's strategic location near the Strait of Malacca, positions it well to strengthen India's play in the global container shipping network serving trade across other countries"

RAVI JAKHAR
DIRECTOR, STRATEGY
AND GROUP CFO,
ALLCARGO GROUP

infrastructure can enhance the competitiveness of Indian trade and reinforce India's emergence as a globally competitive maritime hub.

INVESTMENTS

The project will be implemented through a joint venture, with select major ports holding an aggregate equity stake of 45%, with the remaining 55% equity held by the private sector.

J P Irene Cynthia, MD, KPL, says the project has sector-specific as well as location-specific issues, and hence is structured as a JV. Capital-intensive common infrastructure, such as dredging, reclamation and breakwaters, has been included within the scope of the concessionaire, unlike the usual practice of such infrastructure being developed by the authority.

"It has been included within the scope of the JV to provide the private partner greater flexibility in design and implementation, aligned with its operational requirements and cost estimation. This approach also ensures that the private partner has full ownership and accountability from the outset, thereby promoting efficiency and long-term commitment to the project. Further, a VGF support is proposed to be given in the first phase to the project," says the shipping ministry.

However, former shipping secretary Gopal Krishna opines that it will be best to leave it to a private operator and the government should limit the investment to some infrastructure development and port connectivity.

Despite these risks and the ecological damage, the location and strategic relevance of the project underscore its importance, the government says, as it proceeds to change the face of the Great Nicobar Island. **BT**

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